Session 5 of 6

3 hours · rounds 8 and 9

Financing growth.

Compare sources of funding, read a term sheet, understand dilution and preferences, and face the dilemma of wealth versus control.

Session 5
Agenda

Today’s three hours.

01

Debriefing

20-30 minutes

Rounds 6 and 7: leaderboard and news in projector view.

02

Lesson

45 minutes

Sources of capital, venture capital, term sheets, control.

03

Rounds 8 and 9

2 × 35-40 minutes

Pitches, term sheets, rescue rounds, acquisitions.

04

Term sheet and wrap-up

20 + 15 minutes

A term sheet worked out in class, round report, memo.

Lesson
Sources of capital

Every euro you raise has a price, even when you can’t see it.

Source	What it costs, besides money
Revenue and savings (bootstrapping)	Slower growth, personal risk for the founders
Friends and family	Relationships at stake, expectations often left unwritten
Grants and subsidized loans	Time, restrictions on use, reporting; no equity given up
Business angels	Equity, and an experienced partner who will want a say
Venture capital	Equity, board seats, and very fast growth to deliver

- **In the game.** Grants, loans, crowdfunding, angels, an accelerator and venture capital each have different requirements, and investors have limited slots and capital for the whole class.

Lesson

A case: bootstrapping

Mailchimp: twenty years without venture capital.

Intuit, 2021

$12 billion

in cash and stock, for a company that had never taken outside capital.

Founded in 2001 in Atlanta by Ben Chestnut and Dan Kurzius, it grew on customer revenue, with no investors.

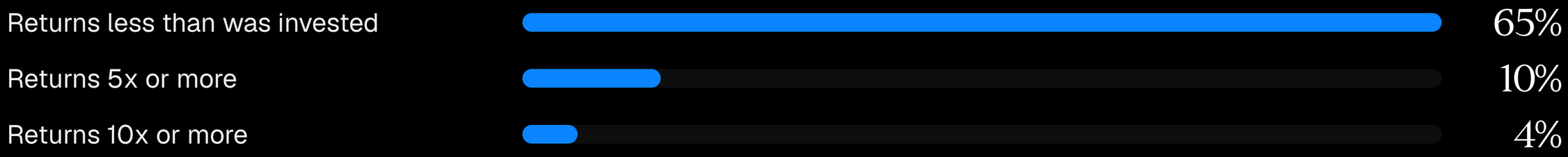
In 2021 Intuit bought it: one of the largest exits ever for a company never funded by venture capital.

Bootstrapping is not just a phase: it can be a strategy.

- **In the game.** You can make it to the end without investors: one of the achievements to unlock is “Bootstrapped”.

Lesson
How venture capital works

A few big wins pay for everything else.



Share of venture capital financings. Source: Correlation Ventures, more than 21,000 financings, 2004-2013.

For Peter Thiel (Zero to One, 2014), returns follow a power law: every investment has to be able to return the entire fund on its own. That is why a VC looks for huge markets and very fast growth.

- **In the game.** Investors fund only a few companies per round and pick the most compelling pitches on PMF, growth, team and reputation.

Lesson
The instruments

SAFE or priced round.

Y Combinator, 2013

SAFE

An agreement for future shares: the investor pays today and gets shares at the first priced round, with a valuation cap or a discount. Fast and cheap, but many SAFEs together dilute more than they seem to.

Seed, Series A and beyond

Priced round

You set a valuation and issue new shares, with a term sheet that spells out rights, preferences and board seats. Slower and more expensive, but everything is clear from day one.

- **In the game.** SAFEs convert at the first priced round, at the lower of the cap and the pre-money; with too many SAFEs outstanding, you need a priced round first.

Lesson

Pre-money and post-money

Dilution in two lines, and in three rounds.

Post-money	pre-money + investment
Investor’s stake	investment ÷ post-money
Example	€4M + €1M = €5M post-money The investor gets 20%; the founders go from 100% to 80%.
Three rounds	0.8 × 0.8 × 0.8 = 51.2% Three rounds of one fifth each leave the founders about half the company.

Lesson

The term sheet · Feld and Mendelson, Venture Deals

The clauses that move value.

Option pool shuffle

The pool for future employees that the investor asks for is created before the round: it dilutes only the existing shareholders and lowers the real valuation.

1x non-participating preference

At exit, the investor takes the better of two options: getting back what they invested, or converting to common stock.

Investment	Exit at €12M	Exit at €40M
€5M for 25%	Takes €5M, €7M to the rest	Converts and takes €10M

- **In the game.** 1x preferences, 2x in rescue rounds; seed and Series A investors ask for an option pool.

Lesson

Noam Wasserman, The Founder’s Dilemma (HBR, 2008)

Rich or king?

Founders who give up control tend to build more valuable companies; those who keep control own a larger share of theirs.

King

Keeps a majority of the votes and of the board, and stays CEO. Decides alone, often over a smaller company.

Rich

Gives up equity and board seats to raise more and attract the best people. Owns less of something worth much more.

- **In the game.** King means more than 50% of the votes, more board seats than anyone else and a CEO never replaced; Rich means at least €10M in founder wealth.

Lesson
Board control

The board picks the CEO, even when the CEO is the founder.

50%

of founders are no longer CEO by the time the startup turns three.

under 1 in 4

still leads the company when it goes public.

Apple, 1985. The board sides with CEO John Sculley and strips Steve Jobs of his operating role; Jobs leaves the company.

Twitter, 2008. Jack Dorsey hands the CEO role to Evan Williams and becomes chairman of the board.

- **In the game.** When the founders lose control of the board, the professional CEO dilemma can come up: step aside or fight.

Lesson
Summary

Before you raise, five questions.

01 Do we really need outside money, or are customers enough?

02 How much do we need to reach the next proof point, and how many months of runway does it buy?

03 How much of the company are we willing to give up in total, not just today?

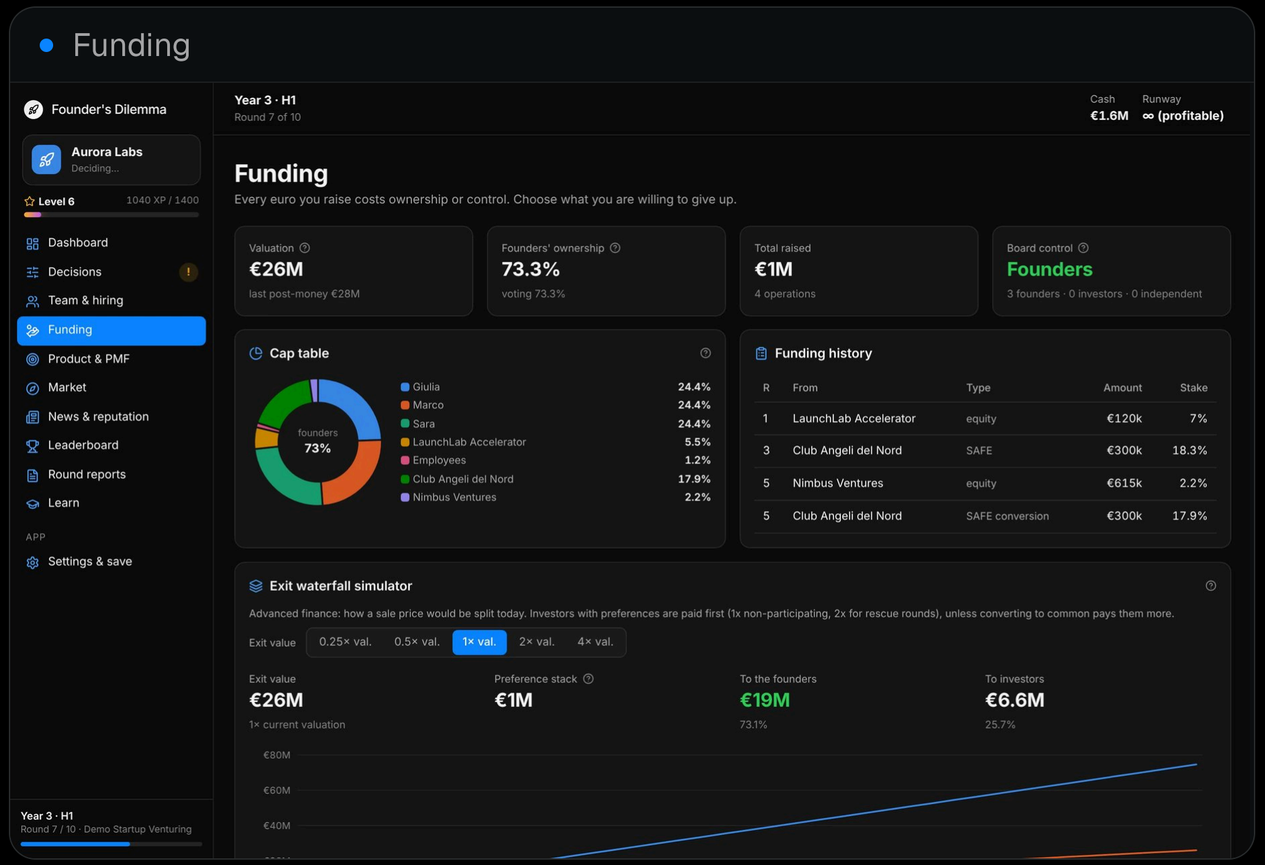
04 What do we get besides money: skills, connections, credibility?

05 Who will control the board after this round?

In the game
Rounds 8 and 9

Today's decisions.

- **Pitches:** at most 2 per round, to investors with limited slots and capital.
- **Term sheets:** valuation, equity, board seats and option pool.
- **Rescue round:** when cash goes negative, at 30% of the valuation with a 2x preference.
- **Acquisitions between teams:** cash offers, decided in the following round.



Activity

20 minutes, whole class

A term sheet on the whiteboard.

stake before × pre-money ÷ post-money

01

One team projects its term sheet: pre-money, amount, requested pool.

02

The class works out the founders' post-money stake.

03

Compare with the game's cap table: if it doesn't match, look for the pool and SAFEs.

Four questions for rounds 8 and 9.

01	Bootstrapping, angels, accelerator or grants: what does each option cost you besides money?
02	How much of the company do you want to own at the end? Rich or king?
03	Look at the cap table: how much of the valuation would really reach the founders with today’s preferences?
04	If an investor chose another team over you, what should you have shown?

Assignment

Decision memo for rounds 8 and 9

Before the next session.

Decision memo

Rounds 8 and 9.

Attach the cap table and say how much of the valuation would reach the founders, and why.

Next session

Exit and final debriefing.

The last round, the final results and the team presentations.